

between 1990 and 2010. Embedded within the state, institutional, and private/employer grant categories in Table 1 are hundreds of separate programs with distinct characteristics.

Table 1 illustrates how the division of labor in higher education finance has shifted over time. The federal investment in student aid has nearly quadrupled over the past 30 years (even after adjusting for inflation, and even if we consider only federal grants). The shift was particularly rapid between 1990 and 2010 (near the nadir of the Great Recession): in 1990, state and local appropriations provided nearly three times as much support as federal student aid, while in 2010 federal aid provided nearly twice as much as state and local appropriations.

Table 1. Support for Undergraduates in the U.S. by Source, Over Time (in Billions, 2020 dollars)

Aid Source	90-91	00-01	10-11	18-19
STATE & LOCAL APPROPRIATIONS*	\$77.3	\$92.8	\$87.0	\$90.5
TOTAL FEDERAL, STATE, INSTITUTIONAL & OTHER AID**	\$44.9	\$88.6	\$219.7	\$189.4
ALL FEDERAL AID	\$28.4	\$57.6	\$162.9	\$109.2
All Federal Grants	\$12.0	\$14.8	\$54.9	\$40.6
Pell Grants	\$9.8	\$12.0	\$42.3	\$29.3
FSEOG	\$0.9	\$0.9	\$0.9	\$0.9
LEAP	\$0.1	\$0.1	\$0.1	\$0.0
SMART Grants	\$0.0	\$0.0	\$0.5	\$0.0
Veterans and Military	\$1.3	\$1.8	\$10.5	\$10.5
Federal Work-Study	\$1.1	\$1.3	\$1.0	\$1.0
All Federal Loans	\$15.3	\$35.6	\$84.0	\$54.9
Perkins Loans	\$1.5	\$1.4	\$0.8	\$0.0
Subsidized Stafford	\$12.2	\$17.1	\$34.3	\$20.4
Unsubsidized Stafford	\$0.0	\$11.6	\$36.4	\$21.3
ParentPLUS	\$1.6	\$5.5	\$12.5	\$13.2
Education Tax Benefits	\$0.0	\$6.0	\$22.7	\$12.6
STATE GRANTS	\$3.6	\$6.9	\$10.8	\$12.4
INSTITUTIONAL GRANTS	\$9.6	\$18.2	\$35.6	\$54.8
PRIVATE & EMPLOYER GRANTS	\$3.1	\$6.0	\$10.4	\$13.1
TOTAL FALL FTE ENROLLMENT	8,624,253	9,667,063	13,660,597	12,463,236

Source: State & local appropriations from NCES (2019). Aid amounts and undergraduate FTE counts from The College Board (2021), Trends in Student Aid, Table 1_UG and Table 3 (online data).

*Appropriations may include graduate education.

**Total aid excludes non-federal loans which total \$12 billion in 2018-19.